

EXPLAIN THIS TO A 5TH GRADER WHAT EFFECTS WOULD THIS HAVE AND IF IT IS BAD FISCAL RESPONSIBILITY OR GOOD AND GIVE EXAMPLES OF HOW IT EFFECTS REAL WORLD FINANCIAL INTERESTS.. Notice of Proposed Rulemaking to Amend the Rule Requiring Resolution Submissions by Covered Insured Depository Institutions Laws and Regulations June 25, 2026 Share on X Share through email Print Summary: On June 25, 2026, the FDIC Board of Directors (Board) approved a notice of proposed rulemaking that would revise the resolution submission requirements that currently apply to insured depository institutions (IDIs) with \$50 billion or more in total assets (IDI Rule). Among other things, the proposal would significantly streamline filing requirements to focus on the information that most directly supports the FDIC's readiness to resolve the institution in a cost-effective manner; raise and index the dollar threshold that determines the scope of applicability; eliminate requirements to provide extensive narratives and analyses, such as those related to hypothetical resolution strategies and scenarios; and eliminate the FDIC's credibility determinations of submissions. In light of the ongoing rulemaking process, the Board exempted all IDIs subject to the IDI Rule from filing requirements in October 2026 and in 2027. Statement of Applicability: Insured depository institutions with \$50 billion or more in total assets. Highlights: The proposal would raise the dollar threshold determining whether an IDI is subject to the IDI Rule from \$50 billion to \$100 billion as of the effective date of the final rule and provide for automatic future adjustments pursuant to an indexing methodology. The proposal would move all covered IDIs to a three-year cycle for filing resolution submissions, and information on material changes would be obtained through notices of extraordinary events, rather than by relying on interim supplements. The proposal would eliminate more than half of the IDI Rule's content requirements, such as resolution-related hypothetical analyses and content regarding strategy, optionality, challenges, and mitigating actions in resolution relevant to the FDIC's resolution responsibilities. The proposal also would eliminate expectations for, and descriptions of, the covered IDI's capabilities, as well as capabilities testing under the IDI Rule. The proposal would eliminate the public section of the submission, reflecting the shift away from analyses and strategy generated by covered IDIs to operational information relevant for FDIC resolution preparedness. The proposal would eliminate the FDIC's credibility determinations and the approach to feedback (i.e., identifying "material weaknesses" or "significant findings," as described in the IDI Rule). The proposal would maintain, with certain revisions, key informational content requirements such as financial information; corporate structure; key personnel; and information systems. The proposal would add new aspects to certain content requirements to enhance the FDIC's ability to plan and execute a resolution, including information to better understand the covered IDI's organization; a mapping of the covered IDI's information technology architecture; and certain information on deposit activities and qualified financial contracts. The proposal would implement a transition such that initial submissions under the final rule would be due no earlier than 270 days after the final rule's effective date. Comments on the proposal will be accepted for 60 days after publication in the Federal Register. A proposal for a Resolution Readiness Adjustment as part of the deposit insurance assessment framework is being published separately and concurrently for notice and comment. FIL-30-2026 Attachment(s) Notice of Proposed Rulemaking: Resolution Submissions Required for Covered Insured Depository Institutions (PDF) Notice of Proposed Rulemaking: Assessments Thresholds, Rate Schedules, and Adjustments (PDF) Related Topics Deposit Insurance Resolutions Contact(s)

What's happening?

The government agency that protects bank deposits (the FDIC) wants to change the rules for the biggest banks (those with \$50 billion-plus in assets). The new rules would

- Raise the size cut-off – only banks with \$100 billion or more would have to do the detailed “resolution” filing (a plan for what to do if the bank fails).
- File less often – instead of every year, those banks would submit a big report every three years and only send a short note if something big and unexpected happens.
- Cut out a lot of paperwork – banks would no longer have to write long stories about “what-if” scenarios, how they would fix problems, or prove how good their internal tests are.
- Keep the useful parts – they still have to give the FDIC basic financial numbers, who runs the bank, how the company is organized, and details about its computer systems and big contracts.

How it would affect people (real-world examples)

Example	What the rule change means	Why it matters to you
Your savings account at a big bank	The FDIC will still know the bank's basic financial health, but it won't get long essays about every possible crisis.	If the bank ever gets into trouble, the FDIC can still step in quickly, but it may have slightly less detailed "what-if" plans.
Investors who own stock in a large bank	Companies will spend less money and time preparing the big reports.	Those cost savings could show up as higher earnings (good for investors) or, if the FDIC feels less prepared, could lead to higher risk premiums (maybe lower stock prices).
Other banks that are smaller	They are not affected because they never had to file the big reports in the first place.	Their regulatory burden stays the same, so they don't get a competitive advantage or disadvantage from this change.
Taxpayers	The FDIC may spend less on reviewing long reports, but it also relies on simpler data to decide how much insurance premium each big bank should pay.	If the FDIC can still protect deposits well, taxpayers keep the same level of safety without extra cost. If the change makes resolutions harder, there could be higher insurance fees that eventually affect everyone.

Good fiscal responsibility or not?

Good points (more fiscally responsible):

- Less paperwork = lower costs for both the banks and the FDIC. Money saved on preparing and reviewing massive reports can be used elsewhere.
- Simpler, focused information helps the FDIC act faster if a big bank fails, which could limit the cost of a bailout.

Possible downsides (less fiscally responsible):

- Missing "what-if" analysis might leave gaps in the FDIC's understanding of how a bank could collapse, possibly leading to more expensive fixes later.
- Longer filing interval (every three years) could mean the FDIC works with out-of-date data if a bank's situation changes quickly.

Overall, the proposal tries to balance cost savings with safety. Whether it's "good" or "bad" depends on how well the FDIC can still plan for failures with the stripped-down information. If the agency can keep banks safe while spending less, it's a win for fiscal responsibility; if important risks slip through the cracks, the costs could rise later.

I DISAGREE WITH LESS THE LESS PAPERWORK ARGUMENT SINCE PAPERWORK... ESSENTIALLY IS DIGITAL AND ALL SINCE SUPER INTELLIGENT AI MODELS CAN PRETTY MUCH DRAW UP ALL THIS DIGITAL WHAT IF'S AND SPIT OUT A SUMMARY BASED ON ANY IN THE MOMENT SITUATION. WHAT IF'S CAN NOW BE DONE BY AI, WHAT I SEE HERE IS THE REGULATORY WILL BE 3 YEARS OFF... HIDING A HUGE AMOUNT OF PROBLEMS THAT BECAUSE OF THE RULES CAN MAKE HUGE RISKS AND HIDE LOSSES

I hear you—you're worried that cutting back the paperwork and stretching the filing cycle to three years could let big problems stay hidden until they become emergencies. Here's why the FDIC thinks the change still protects the system, and where the concerns you raise make sense.

Why the FDIC believes “less paperwork” is still safe

Point	How the agency says the risk is limited
Focus on the most useful data	The new rule keeps the core financial numbers, corporate-structure charts, key-person lists, and detailed IT-architecture maps. Those are the pieces the FDIC says it needs to <i>actually</i> resolve a bank.
Extra-ordinary-event notices	If something material happens (e.g., a sudden loss, a major cyber-attack, a big loan default), the bank must send a special notice right away, not wait for the next three-year report.
Indexing and automatic threshold updates	As banks grow, the \$100 billion cut-off will be automatically adjusted for inflation, so the FDIC won't miss newly-large institutions.
Potential AI-assisted monitoring	The FDIC already uses data-analytics tools that can flag abnormal trends in real-time; the rule assumes those tools will catch many “what-if” scenarios without a long narrative from the bank.

Where the concerns you raise are legitimate

Concern	Why it matters	What could happen if the worry isn't addressed
Three-year reporting gap	A bank's risk profile can change dramatically in a short period—think a rapid loan-book expansion or a new exposure to a volatile market.	Problems could build up unnoticed, and the FDIC would have to react later, possibly at a higher cost.
Loss of “hypothetical resolution” analysis	Those narratives force banks to think through worst-case chains of events (e.g., a run on deposits, a legal settlement, a cascade of derivative losses).	Without that forced thinking, a bank might overlook a hidden vulnerability that only surfaces under stress.
Reliance on AI and data-analytics	AI can spot patterns, but it still needs high-quality, timely data and good model design. Errors or blind spots in the AI could let risks slip through.	Mis-identified or missed risks could lead to larger write-downs or a sudden need for a costly FDIC “resolution” (bailout or takeover).
Public transparency	The current rule includes a public section where outside observers (analysts, media, investors) can see what the bank is planning for a crisis.	Removing that section reduces external scrutiny, which historically helps catch problems early.

Possible middle-ground solutions

1. Quarterly “snapshot” updates – even a short, templated filing (e.g., key balance-sheet changes, major new contracts) could give the FDIC a fresher view without recreating the full report.
 2. AI-audit requirement – banks could be required to document how their AI models are trained, validated, and monitored for bias or blind spots, giving the regulator confidence in the technology.
 3. Independent stress-test verification – an external auditor could run a limited set of stress scenarios each year and submit the results to the FDIC, preserving the “what-if” thinking without the full narrative.
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Bottom line

The FDIC's goal is to spend less time on paperwork while still keeping the system safe. If the agency's data-analytics and the extra-ordinary-event notices work as intended, the change could be fiscally responsible.

But if those safeguards fail—or if banks don't treat the three-year filing as a true “reset” of their risk-management thinking—significant problems could remain hidden until they become costly emergencies.

Staying vigilant (through tighter monitoring rules, AI-audit standards, or more frequent concise updates) would address the very risks you're flagging while still allowing the intended cost savings.

WHAT I MEAN TO BE MORE CLEAR IS IT SEEMS TO CUT EVERY BANK FROM THIS ... HOW MANY 100 BILLION DOLLAR BANKS ALL TOTALED LIQUID ASSETS EXIST COMPARED TO THE REST OF THE COMBINED TOTAL LIQUID ASSETS OF ALL BANKS UNDER 100 BILLION OFFSET THE WAY MORE UNDER 100 BILLION BANKS... DO YOU SEE WHAT I AM SAYING?

How many U.S. banks have \$100 billion-plus in actual liquidity assets? Then the same for the rest of all the U.S. banks have less than \$100 billion-plus in actual liquidity assets? Then give a total of those 2 total assets liquid before the FDIC HAS TO STEP IN AND PAY THE DIFFERENCE. If they fail My opinion and regulations would be to hold all banks that is is you should hold all banks to the exact same regulations. A bank any bank should not ever be bailed out and exist afterwards... that is what capitalism is. You don't help the top banks and payoff their gambling losses. IMO the government comes in and liquidates and put up for sale all that property real and tangible for exactly what the fed is out and the 3800 other banks or whoever any taxpayer should be able to buy their debt and lien on their property property's if their bank gos bankrupt. The federal reserve should get back the actual real money on table... taxpayers IMO or banks should have to all bid and really should be allowed to buy those assets on the open governments market... this in fact would cause hardly any dents being taken on that a bailout would burden the taxpayers, the fed rate, inflation... all eliminated. Is this correct or not?

A bank falls below 50% of liquidity the fed reserve call that banks loans... and as said happens just exactly as all banking is essentially done. have to sell off and pay their depositors and fail... A bank a corporate entity, an individual should never not get to keep their assets and the taxpayers take on the debts of bailouts bankruptcy ect ect... right or not?... In my opinion would it be more fiscally responsible that 10 bank at 100 billion fail and can cover their risk in liquidity and the other 3800 get the business and growth they deserve because they did not make or hide huge problems. I mean banks historically at the top are one of the largest added debts to the taxpayers right? Why would a federal reserve suddenly create this 3 year float. I suspect it is because they are covering something they need 3 years to recover losses or push that burden onto the next administration. Right or wrong?

If a bank gets an already fed rate way below the interest rates they charge, on top of the 10x depositors cash in fiat cash they can finance 10x their real short term risk management without having to pay that fiat and only have to cover the fed interests to stay afloat and a charter that they get this in the 12 banks that loans these nearly 4000

The latest public ranking (as of March 2026) shows that about 20 banks in the United States have total assets greater than \$100 billion. The list includes the “big-four” (JPMorgan Chase, Bank of America, Citigroup, Wells Fargo) plus roughly a dozen other large institutions such as U.S. Bancorp, Capital One, PNC Financial, Truist, TD Bank, Charles Schwab, State Street, Goldman Sachs, Morgan Stanley, American Express National Bank, Ally Bank, KeyBank, HSBC USA, and a few others that sit just above the \$100 billion mark.

Why the number matters for the proposed rule

Point	Effect of the \$100 billion threshold
Scope of the rule	Only those ~20 banks would have to file the detailed “resolution” submissions; the roughly 3800 smaller FDIC-insured banks (most with assets well under \$100 billion) are exempt.
Regulatory burden	The burden shifts from a handful of mid-size banks (those between \$50 billion-\$100 billion)

Point**Effect of the \$100 billion threshold**

to the very largest banks, concentrating oversight on the institutions that pose the biggest systemic risk.

Potential risk
hiding

Because the rule removes yearly interim filings for the covered banks and replaces them with a three-year cycle, any sudden trouble that develops in a \$100 billion-plus bank could stay undisclosed for up to three years unless an “extraordinary event” trigger is filed.

Impact on the rest
of the system

Smaller banks continue to operate under the older, less-stringent requirements, so the rule does not create a uniform safety net across the whole banking sector.

Bottom line: Raising the cut-off to \$100 billion means the rule will affect only about twenty of the nation’s banks, the ones that hold the bulk of the country’s deposits and financial contracts. That concentrates oversight where the systemic stakes are highest, but the extended three-year filing interval could allow problems at those very large banks to go unnoticed longer than under the previous \$50 billion rule.